12. INCOME TAXES

The Company accounts for income taxes using ASC 740, “Income Taxes,” which is an asset and liability approach that requires the recognition of deferred tax assets and liabilities for the expected future tax consequences of events that have been recognized differently in the financial statements and the tax returns. The provision for income taxes consists of the following at December 31:

($ in thousands)	2023	2022	2021
Total provision (benefit):	$ 2,323	$ 7,393	$ 3,821
Federal:			
Current	1,371	3,330	1,960
Deferred	353	1,718	620
	1,724	5,048	2,580
State:			
Current	584	2,044	937
Deferred	15	301	304
	599	2,345	1,241
	$ 2,323	$ 7,393	$ 3,821

In 2023, the Company’s effective tax rate varies from the statutory federal rate primarily due to permanent differences related to Section 162(m) limitations, state taxes and excess stock compensation expense. The Section 162(m) compensation deduction limitations occurred as a result of changes in tax law arising from the 2017 Tax Cuts and Jobs Act, which first impacted the Company in 2020. A reconciliation of the provision for income taxes, with the amount computed by applying the statutory Federal income tax rate of 21% in 2023, 2022 and 2021, is as follows for the years ended December 31:

($ in thousands)	2023	2022	2021
Income tax at statutory rate	$ 1,195	$ 4,869	$ 1,924
State income taxes, net of Federal benefit	578	1,851	802
Excess stock compensation (benefit) expense	(501)	(147)	34
Non-deductible compensation	1,302	1,008	539
Oil and mineral depletion	(130)	(147)	(108)
Permanent differences	9	10	26
Stock compensation true-up	—	—	641
Other	(130)	(51)	(37)
Provision for income taxes	$ 2,323	$ 7,393	$ 3,821
Effective tax rate	41.6 %	31.9 %	41.7 %

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company's deferred tax assets and liabilities were as follows at December 31:

($ in thousands)	2023	2022
Deferred income tax assets:		
Accrued expenses	$ 293	$ 333
Deferred revenues	563	447
Capitalization of costs	1,218	1,280
Pension adjustment	1,921	1,940
Stock grant expense	1,048	1,364
State deferred taxes	355	555
Book deferred gains	2,127	2,127
Joint venture allocations	552	566
Provision for additional capitalized costs	699	699
Interest rate swap	1,444	335
Other	81	136
Total deferred income tax assets	$ 10,301	$ 9,782
Deferred income tax liabilities:		
Deferred gains	$ 1,753	$ 1,753
Depreciation	4,766	4,492
Cost of sales allocations	872	872
Joint venture allocations	7,272	6,900
Capitalized stock compensation	1,202	1,058
Straight line rent	296	348
Prepaid expenses	369	318
State deferred taxes	96	96
Interest rate swap	1,444	762
Other	500	363
Total deferred income tax liabilities	$ 18,570	$ 16,962
Net deferred income tax (liability)	$ (8,269)	$ (7,180)
Allowance for deferred tax assets	—	—
Net deferred taxes	$ (8,269)	$ (7,180)

Due to the nature of the Company's deferred tax assets, the Company believes they will be used through operations in future years and a valuation allowance is not necessary.

The Company made $2,564,000 in estimated tax payments in 2023 and $8,237,000 in 2022. The Company received tax refunds of $0 and $1,410,000 in 2023 and 2022, respectively.

The Company evaluates its tax positions for all income tax items based on their technical merits to determine whether each position satisfies the "more likely than not to be sustained upon examination" test. The tax benefits are then measured as the largest amount of benefit, determined on a cumulative basis, that is "more likely than not" to be realized upon ultimate settlement. As a result of this evaluation, the Company determined there were no uncertain tax positions that required recognition and measurement for the years ended December 31, 2023 and 2022 within the scope of ASC 740, "Income Taxes." Tax years from 2020 to 2022 and 2019 to 2022 remain available for examination by the Federal and California State taxing authorities, respectively.